

Cambridge International AS & A Level

ECONOMICS

Paper 2 AS Level Data Response and Essays

MARK SCHEME

Maximum Mark: 60

This mark scheme follows the same structure, Generic Marking Principles, and level-based assessment criteria (Table A: AO1+AO2 and Table B: AO3) as the published Cambridge AS & A Level Economics Paper 2 mark scheme. It should be used in conjunction with the corresponding practice question paper.

Generic Marking Principles (summary)

1. Marks are awarded in line with the specific content of the mark scheme.
2. Marks are always whole marks.
3. Marks are awarded positively for valid answers; not deducted for errors.
4. Rules are applied consistently.
5. The full range of marks should be used where appropriate.
6. Marks are based solely on the mark scheme, not grade thresholds.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table to give marks for AO1 + AO2 for Questions 2(b), 3(b), 4(b) and 5(b).

Level	Description	Marks
3	• Detailed knowledge and understanding of relevant economic concepts with explanations and examples. • Clearly addresses the question; develops explanations fully. • Developed, detailed analysis using accurate concepts/theories; diagrams/formulae fully explained. • Well-organised, focused, logical and coherent.	6–8
2	• Some relevant economic concepts; explanations limited, over-generalised or partially inaccurate. • Addresses the general theme; limited development. • Generally accurate analysis with some development; tools partially explained. • Generally logical, occasionally lacking focus.	3–5
1	• A small number of relevant points; limited by errors/omissions. • Little relevance to the question. • Analysis where present is largely descriptive; diagrams may contain errors or be omitted. • Limited organisation.	1–2
0	No creditable response.	0

Table B: AO3 Evaluation

Use this table to award marks for AO3 Evaluation for Questions 2(b), 3(b), 4(b) and 5(b).

Level	Description	Marks
2	• Provides a justified conclusion/judgement addressing the specific requirements of the question. • Makes developed, reasoned and well-supported evaluative comment(s).	3–4
1	• Provides a vague or general conclusion/judgement. • Makes simple evaluative comment(s) with no development and little supporting evidence.	1–2
0	No creditable response.	0

Section A

Follow the point-based marking guidance at the top of this mark scheme.

Question	Answer	Marks
1(a)(i)	Identify one possible reason for the value of the short-run PED for rice. • PED = -0.15 is highly inelastic. A reason may be: rice is a staple/necessity for many households, particularly in Asia and Africa; few close substitutes; takes a small share of total income for higher-income consumers but is essential calorific intake for the poor; cultural/dietary preferences (1). • Award 1 mark for recognition that demand is inelastic plus a valid reason.	1
Question	Answer	Marks
1(a)(ii)	Calculate the percentage change in the average price of rice between 2018 and 2024. • $((620 - 410) / 410) \times 100 = 51.2\%$ (accept 51%, 51.22%). • Award 1 mark for the correct figure (with or without sign). 0 marks if shown negative or computed incorrectly.	1
Question	Answer	Marks
1(b)	With the help of a demand and supply diagram, explain why global rice prices rose sharply in 2024. • Accurate demand and supply diagram (1) showing supply shifting LEFT (India's export ban reducing world supply) and/or demand shifting RIGHT (importing countries scrambling for alternative supplies), with an arrow / $P1 \rightarrow P2$ / annotation showing the rise in equilibrium price (1). • Either shift alone, correctly drawn and labelled, is sufficient. A diagram with appropriate annotation is sufficient for both marks.	2
Question	Answer	Marks
1(c)	Consider whether a maximum price on retail rice would be effective in protecting low-income consumers. • A maximum price is a legal price ceiling set below equilibrium to keep a good affordable (1). • At the lower price, quantity demanded exceeds quantity supplied, leading to a shortage and potentially rationing (1). Low-income consumers benefit if they can access the rice at the lower price (1). Reserve 1 mark for valid evaluation, e.g.: • Black markets may emerge selling rice at well above the cap; queues may exclude the working poor; suppliers may exit the market reducing future availability; informal sector may sell adulterated rice; the policy may fail to protect those most in need without complementary subsidies (1).	4

Question	Answer	Marks
1(d)	Assess the extent to which the use of buffer stocks would be the best way to ensure food security for an importing country such as the Philippines. Up to 3 marks for analysis in favour, e.g.: • A buffer stock smooths price fluctuations by buying when prices are low and selling when prices are high. • It builds national reserves that can be released in supply shocks (e.g. export bans, harvest failure), preventing famine. • It stabilises consumer prices and reduces vulnerability of low-income households to food inflation. Up to 3 marks for analysis against, e.g.: • Rice has a limited shelf life ($\approx$ 12–24 months); storage costs are high in tropical climates with humidity and pests. • Government may lack the budget to acquire and maintain adequate stocks. • Buffer stocks address the symptom (volatile prices) rather than the cause (low domestic productivity, import dependence). • Alternatives — domestic input subsidies, agricultural R&D, irrigation investment, food diversification, strategic trade agreements — may be more cost-effective. • Comparison with at least one alternative can score full marks. Note: 4 marks maximum for analysis. Evaluation: assesses both sides (1); justified conclusion on whether buffer stocks are the <i>best</i> way (1).	6

Question	Answer	Marks
1(e)	Assess the advantages and disadvantages of an importing country reducing its dependence on rice imports through diversification of staple food consumption. Up to 3 marks for advantages, e.g.: • Reduced exposure to rice-specific shocks (export bans, monsoon failures) and to a single trading partner. • Improved nutritional outcomes if diversified staples include more diverse nutrients. • Potential development of domestic alternative crops (cassava, sorghum, millet) supporting rural employment. • Reduced food import bill and improved current account balance. Up to 3 marks for disadvantages, e.g.: • Strong cultural attachment to rice — diversification may face consumer resistance. • Alternative staples may have higher production costs domestically without comparative advantage. • Transitional unemployment in the rice supply chain. • Diversification takes years; provides little protection in the short run. Note: 4 marks maximum for analysis. Evaluation: assesses both sides (1); justified conclusion (1).	6

Section B

Question	Answer	Marks
2(a)	With the help of a diagram, explain the difference between PES in the short run and long run and consider whether PES always becomes more elastic over time. AO1 (max 3 marks): • Accurately labelled supply diagram showing a steeper short-run supply curve and flatter long-run supply curve (1). • PES definition: responsiveness of quantity supplied to a change in price; $PES = \frac{\% \Delta Q_S}{\% \Delta P}$ (1). • Short-run PES is lower because at least one factor of production is fixed; long-run PES is higher because all factors are variable (1). AO2 (max 3 marks): • Time allows firms to alter capital stock, hire labour, build new capacity (1). • Time allows new entrants into the industry (1). • However, PES depends not just on time but also on the nature of the good (perishable, agricultural with long growing cycles), the availability of stocks and barriers to entry (1). AO3 (max 2 marks): • PES does not always become more elastic — for finite resources (oil, lithium), long-run PES may fall as reserves are depleted (1); reasoned conclusion (1).	8

Question	Answer	Marks
2(b)	Assess the view that consumer surplus is always increased by a reduction in producers' costs of production. Use Table A and Table B. Indicative content: • Definition and diagram of consumer surplus (area between demand curve and price). • A fall in costs shifts supply right; in a competitive market this lowers price and raises quantity, increasing consumer surplus. • Conditions under which this may NOT happen: monopoly power (firms retain cost savings as profit), indirect taxes that absorb the cost saving, sticky prices, asymmetric information. • PED affects the magnitude: more elastic demand → larger gain in consumer surplus. • Long run vs short run: if cost reduction encourages entry, prices fall further over time. AO3: balanced judgement and justified conclusion considering market structure and elasticity. One-sided responses earn no AO3 marks.	12

Question	Answer	Marks
3(a)	With the help of a diagram, explain the difference between economic goods and free goods and consider whether all goods involve an opportunity cost in their production. AO1 (max 3 marks): • Accurate PPC or supply diagram (1). • Economic good: scarce, requires resources to produce, has an opportunity cost, commands a positive price (1). • Free good: abundant relative to want, no opportunity cost, zero price (e.g. air for breathing in a clean environment, sunlight) (1). AO2 (max 3 marks): • Production of economic goods uses scarce resources, so producing more of one means producing less of another (1). • In a fully employed economy, opportunity cost is increasing along a bowed-out PPC (1). • Free goods have no opportunity cost in production but may have one in distribution (e.g. delivering clean water) (1). AO3 (max 2 marks): • Some goods regarded as free are increasingly scarce (e.g. clean air in cities, fresh water) and therefore acquire opportunity cost (1); reasoned conclusion (1).	8

Question	Answer	Marks
3(b)	Assess the extent to which the entrepreneurial factor of production is more important than the other factors of production for an economy. Use Table A and Table B. Indicative content: • Definition of enterprise: bears risk, combines other factors, organises production, drives innovation. • Importance of enterprise: drives dynamic efficiency, creates new firms and employment, develops new technologies, opens export markets. • Importance of other factors: – Labour: human capital fundamental to productivity. – Capital: machinery and infrastructure necessary for scale. – Land: natural resources, location, energy. • Without complementary factors, enterprise alone cannot deliver growth (entrepreneurs in countries lacking capital or skilled labour struggle). • Stage of development matters: enterprise is critical for developing/transition economies; capital and labour for established economies. AO3: balanced judgement comparing enterprise with at least one other factor; justified conclusion.	12

Section C

Question	Answer	Marks
4(a)	Explain three measures of international competitiveness and consider whether the terms of trade always improves when export prices rise. AO1 (max 3 marks): three measures named and briefly explained (3 × 1): • Real exchange rate (nominal rate adjusted for relative price levels). • Unit labour costs (labour cost per unit of output) – key for export competitiveness. • Relative export prices / share of world exports. • Also accept: terms of trade, productivity comparisons, World Economic Forum competitiveness rankings. AO2 (max 3 marks): • Terms of trade = (export prices ÷ import prices) × 100 (1). • Rising export prices, with import prices unchanged, improve the terms of trade (1). • However, if import prices rise faster than export prices, terms of trade worsen despite the rise in export prices (1). AO3 (max 2 marks): • An improvement in terms of trade may not be welfare-improving: depends on PED for exports; if elastic, export volumes fall and current account may worsen (Marshall-Lerner condition) (1); reasoned conclusion (1).	8

Question	Answer	Marks
4(b)	Assess the extent to which expansionary monetary policy is the best way to correct a persistent current account surplus. Use Table A and Table B. Indicative content: • Mechanism: lower interest rates → currency depreciation → exports more expensive in foreign markets / imports cheaper / capital outflows → narrower current account surplus. • Also: lower rates stimulate domestic consumption and investment, raising imports. • Strengths: politically easier than fiscal expansion; works through multiple channels (exchange rate, AD, asset prices). • Weaknesses: may fuel inflation, asset bubbles, and undermine financial stability; depreciation may invite retaliation; effectiveness depends on PED for exports/imports (Marshall-Lerner condition). • Alternatives — expansionary fiscal policy, supply-side restructuring to encourage domestic absorption, currency revaluation, removing barriers to imports. • Country context: persistent surplus may reflect structural high saving or undervalued currency; monetary policy addresses cyclical not structural causes. Guidance: answers must link to correcting a current account surplus (not deficit). Otherwise capped at mid-Level 2. AO3: balanced comparison and justified conclusion.	12

Question	Answer	Marks
5(a)	With the help of an AD/AS diagram, explain two factors that may cause an outward shift of LRAS and consider whether this will always lead to higher economic growth. AO1 (max 3 marks): • Accurately labelled AD/AS diagram (axes price level and real GDP) showing LRAS shifting right (1). • Two factors named and explained from: increased quantity/quality of labour (immigration, education, training); investment in capital; technological progress; improved infrastructure; discovery of new natural resources; institutional reforms (2). AO2 (max 3 marks): • Higher LRAS raises an economy's productive potential (1). • Whether actual growth occurs depends on the level of AD; with weak AD, an outward shift in LRAS may leave a deflationary output gap and unused capacity (1). • Sustainable growth requires both rising AD and rising LRAS (1). AO3 (max 2 marks): • Whether growth always follows depends on demand conditions, distribution of new resources and time lags (1); reasoned conclusion (1).	8

Question	Answer	Marks
5(b)	Assess the view that a low rate of unemployment is more important than a low rate of inflation as a macroeconomic objective. Use Table A and Table B. Indicative content: • Importance of low unemployment: human costs (poverty, social exclusion, lost skills), economic costs (lost output, higher welfare spending, lower tax revenue), political stability. • Importance of low inflation: maintains purchasing power, supports investment by reducing uncertainty, protects export competitiveness, prevents redistributive effects on savers and fixed-income earners. • Trade-off: short-run Phillips curve suggests inverse relationship; demand-management trade-offs (loose policy lowers unemployment but raises inflation, and vice versa). • Long-run trade-off largely absent — natural rate of unemployment determined by supply-side factors; inflation expectations adjust. • Country-specific context: severe unemployment may dominate in a recession; runaway inflation may dominate in a supply-shock economy. AO3: balanced comparison and justified conclusion. One-sided responses earn no AO3 marks.	12